business experience. In the second place, instead of the twofold test of value afforded by both earnings and assets, he is relying upon a *single* and therefore less dependable criterion. In the third place, these earnings statements on which he relies exclusively are subject to more rapid and radical *changes* than those which occur in balance sheets. Hence an exaggerated degree of instability is introduced into his concept of stock values. In the fourth place, the earnings statements are far more subject to *misleading* presentation and mistaken inferences than is the typical balance sheet when scrutinized by an investor of experience.

Warning Against Sole Reliance upon Earnings Exhibit. In approaching the analysis of earnings statements we must, therefore, utter an emphatic warning against exclusive preoccupation with this factor in dealing with investment values. With due recognition of the greatly restricted importance of the asset picture, it must nevertheless be asserted that a company's resources still have some significance and require some attention. This is particularly true, as will be seen later on, because the meaning of any income statement cannot properly be understood except with reference to the balance sheet at the beginning and the end of the period.

Simplified Statement of Wall Street's Method of Appraising Common Stocks. Viewing the subject from another angle, we may say that the Wall-Street method of appraising common stocks has been simplified to the following standard formula:

1. Find out what the stock is earning. (This usually means the earnings per share as shown in the last report.)

2. Multiply these per-share earnings by some suitable "coefficient of quality" which will reflect:

a. The dividend rate and record.
b. The standing of the company—its size, reputation, financial position, and prospects.
c. The type of business (*e.g.*, a cigarette manufacturer will sell at a higher multiple of earnings than a cigar company).
d. The temper of the general market. (Bull-market multipliers are larger than those used in bear markets.)